

the bad taste to ask him how it happens that he is broke, he tells you quite ingenuously that he made the all too human error of not believing his own charts.

INVESTMENT TRUSTS

This explanation, magnificent in its simplicity, must be the envy of investment-trust presidents. Once each year, except in boom years, these poor fellows have to explain in dignified prose How It All Happened. They have about as much chance of producing an effective apology as a firebug.

It is the popular feeling in Wall Street that chart readers are pretty occult professors but that most of them are broke.

The financial statement of an investment trust is so naked! Not only widows but also orphans can understand it. The trust bought them for so much, and now (after deducting expenses) they are worth only so much. Even as you and I.

The president of any other sort of corporation has a comparatively easy time. Not only is his balance sheet Greek to most of his stockholders, but he easily explains his losses as due to the Administration, the drought, the war scare, the Administration, prohibitive costs, and the Administration. But this does not come well from the officers of an investment trust, because they were placed in their high offices on account of their ability to foresee the effects of the Administration, prohibitive costs, the Administration, etc., etc.

The principle of "managed" investment trusts is absolutely sound, granted only one premise. (I am not taking up the subject of "fixed" trusts, because I always wind up losing my tem-